

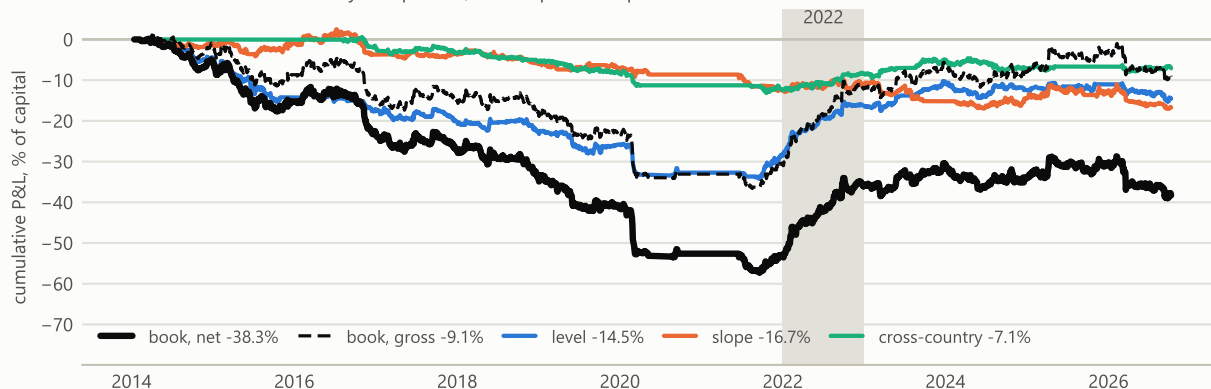
# Policy paths against the rules: tear sheet

As of 9 October 2026 · book in USD, counted from Jan 2014 · generated 2026-10-10 by scripts/build\_tearsheet.py, nothing typed by hand

Every session, the market's path for each policy rate over the next eight meetings (USD from ZQ and GBP from OIS) is set against the path a balanced-approach rule would take on the macro data public that day, held flat. The gap between the two, z-scored against its own trailing two years, is traded in five sleeves: the fourth-meeting rate in USD and GBP, 2s10s in USD and GBP on the part of the slope gap the level does not explain and the GBP - USD 2y differential. Each sleeve takes a side at  $|z| \geq 1$  and drops it at  $z = 0$ , flat when the policy rate and the rule are both at the lower bound; the book sizes the sides inverse to their vol under one 5% vol target, net of costs.

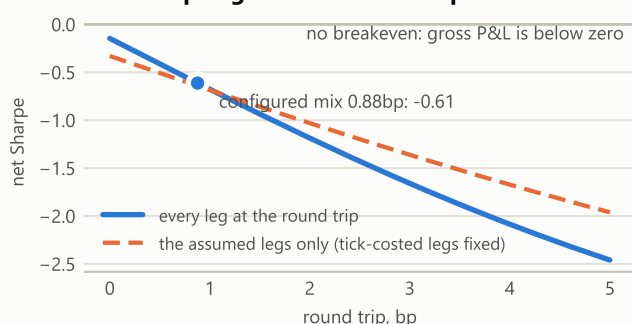
## The book nets -0.61 (0.32), -3.24% of capital a year (-0.15 gross); worst drawdown 57%

Cumulative P&L net of costs by component, % of capital. Sharpe SEs in brackets.

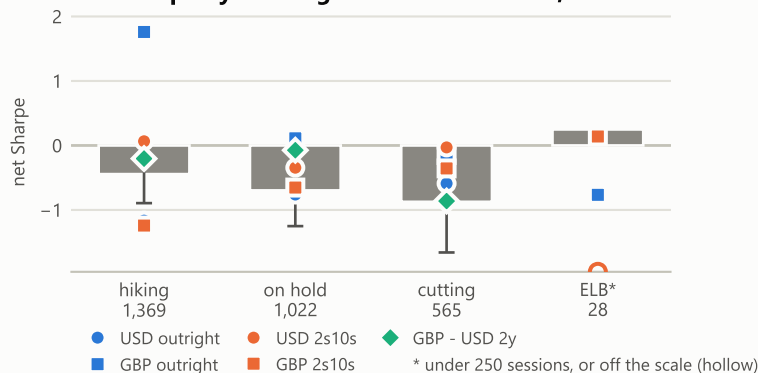


- The level dominates (63% of the gross P&L variance; closer to a duration timer than to relative value): it made +0.00% a year gross, the rest -0.78%.
- Carry and roll cost -2.06% a year and the rate change earned +1.29% (GBP outright +2.44%, the rest -1.15%); not a carry trade (corr -0.15 with the carry-sign book).
- IC(21) of z on the rate change, outside the ELB: USD outright -0.12, GBP outright +0.37, USD 2s10s +0.09, GBP 2s10s +0.04, GBP - USD 2y -0.03.
- Costs 2.47% a year: 19.8 turns of a 283k mean gross DV01 at 0.44bp one way, 46% of it rolls and re-strikes.
- ELB flat (exclude -0.55, hold -0.69). Ex-2022 -0.99, ex-Dec 2021 to Aug 2023 -1.12; GBP outright, the best sleeve, +0.49, +0.14 and +0.03: one cycle.

## Net Sharpe against the round trip assumed



## Net Sharpe by USD regime: the book $\pm 1$ SE, and each sleeve



## The current signal, 9 October 2026

|              | as of  | z    | side    | DV01/bp | instrument            | edge | CR 91d | E 91d |
|--------------|--------|------|---------|---------|-----------------------|------|--------|-------|
| USD outright | 09 Oct | +2.8 | receive | +28k    | 2027-04               | +61  | +27    | +42   |
| GBP outright | 08 Oct | +1.8 | receive | +27k    | 2027-03-18/2027-04-29 | +83  | +32    | +38   |
| USD 2s10s    | 09 Oct | +2.1 | receive | +39k    | 2y vs 10y             | +32  | +13    | +15   |
| GBP 2s10s    | 08 Oct | -0.0 | flat    | +0k     | 2y vs 10y             | +0   | -11    | -3    |
| GBP - USD 2y | 08 Oct | +0.7 | receive | +29k    | 2y vs 2y              | +25  | -0     | +4    |

Edge: the de-measured gap, bp (a proxy for the legs' move on curve and cross sleeves), for the side z points to, as are CR (carry and roll over 91 days, curve frozen) and E (the edge's past closure, CR on the rest). DV01: the book's position, book currency.

## Performance, net of costs (Sharpe with its SE)

|              | gross SR | net SR       | a year | vol  | worst dd | hit day | hit trade | turns | ex-2022 | ex-22-23 |
|--------------|----------|--------------|--------|------|----------|---------|-----------|-------|---------|----------|
| book         | -0.15    | -0.61 (0.32) | -3.24% | 5.3% | 57%      | 46%     | 44%       | 20    | -0.99   | -1.12    |
| USD outright | -0.50    | -0.89 (0.34) | -2.20% | 2.5% | 35%      | 38%     | 53%       | 17    | -1.09   | -1.23    |
| GBP outright | +0.72    | +0.49 (0.31) | +0.97% | 2.0% | 6%       | 50%     | 56%       | 15    | +0.14   | +0.03    |
| USD 2s10s    | +0.02    | -0.11 (0.29) | -0.27% | 2.5% | 9%       | 47%     | 47%       | 11    | -0.14   | -0.17    |
| GBP 2s10s    | -0.36    | -0.62 (0.32) | -1.15% | 1.8% | 14%      | 48%     | 30%       | 8     | -0.73   | -0.58    |
| GBP - USD 2y | -0.18    | -0.30 (0.30) | -0.60% | 2.0% | 14%      | 49%     | 33%       | 9     | -0.51   | -0.66    |

Sleeves: their contribution inside the book, over its sessions. Breakeven round trip: none (gross  $\leq 0$ ); configured mix 0.88bp. Ex-2022 and ex-22-23 leave calendar 2022, and Dec 2021 to Aug 2023, out of the P&L, the positions not re-run. Tables: reports/metrics.md and reports/portfolio.md; choices: notes/DECISIONS.md.